

Reliance Infocomm. Further, the "universal licence" designed to retrofit the operations of Reliance includes national and international long distance, basic services and mobile telephony. By one calculation using the \$2-billion valuations obtained by Swan and Unitech, the value of the "universal licence" in 2006 would be around \$1.5 billion or around Rs 6,500 crore whereas only Rs 1,658 crore was paid. Since 2003, 51 UAS licences have been issued under the same pricing formula of which nine were given during the tenure of the then DOT chief and current TRAI chief Nripendra Mishra.

You could argue, be that as it may, why wasn't it revised or indexed for new values and inflation? The fact is that governments of the day—the NDA and now the UPA—have been focused on benefits of cheaper telephony and higher tele-density based on higher competition. You could further argue why the regulators did not push for a change. It is obvious that the valuations obtained by the new entrants is the value of the spectrum allotted but the TRAI had, in its orders issued in 2003, 2005 and 2007, laid emphasis on "unrestricted competition" and decided against increasing the spectrum fee. In fact, as late as August 2007, the TRAI observed in its review of licence terms and conditions that "the Authority is not in favour of changing the spectrum fee regime for a new entrant" and that "any differential treatment to a new entrant vis-à-vis incumbents will go against the principle of level playing field". The regulator had stated the "entry fee is not realistic and perhaps needs to be reassessed through a market mechanism" but rested in favour of status quo to drive costs down and teledensity up.

Despite the clamour, Raja is unruffled. "The allegations are baseless. I have followed the norms in letter and spirit. Licence and spectrum allocations are as prescribed and as has been during the tenure of Arun Shourie and Dayanidhi Maran." He believes he has "managed to break the cartel of operators that has resulted in

sharing system), the Government has collected Rs 48,894 crore in licence fees, Rs 9,254 crore in spectrum charges and Rs 19,640 crore as entry fees from new players. Under the present formula, the Government collects nearly Rs 12,000 crore a year in fees.

Strangely there is no clamour for auction of spectrum that is allotted to existing players in excess of the licenced entitlement of 6.5 MHz. After all, that too is contributing to valuations of companies. Controversy apart, it is clear that the system as it stands today has largely delivered. India offers the cheapest tariff in the world, adds eight million subscribers per month with 353 million users and competition has clearly helped ramp up teledensity from 39 per cent to 74.33 for urban areas and from 5.8 per cent to 11.18 under Raja's watch. This glowing picture of private sector growth and consumer benefit has a flip side. It reflects a casual approach to pricing of national assets.

The repeated eruption of allegations of corruption indicate the need for a debate on the role of watchdogs. Why didn't the Parliamentary Standing Committee on Telecom raise this issue? Why didn't the Telecom Commission which is represented by ministries of finance, commerce, telecom and the Planning Commission question the pricing? How come the Finance Ministry (now with the prime minister) that has now asked the reserve price for 3G auctions to be doubled from Rs 2,020 crore per licence to Rs 4,040 crore first allow the lower price? The intervention on the reserve price is a commentary on the efficacy of institutions like the TRAI. Private profiteers will try and twist policy through political masters which is why regulators are mandated with the onus of protecting the interests of consumers as well as taxpayers. Scams will happen when those expected to oversee choose to be eloquently silent. ■

“ They should have auctioned 2G. Who is responsible? The minister must be removed. ”

J. JAYALALITHAA
AIADMK GEN. SECRETARY



“ Raja hasn't deviated from the policies of Shourie and Maran. This is all politics. ”

M. KARUNANIDHI
DMK PRESIDENT



“ The loss to the exchequer is over Rs 60,000 crore and must be one of the biggest scams. ”

SITARAM YECHURY
CPI(M) MP



competition, penetration and cheaper telephony." Raja also argues that those pushing for auction in 2G are not realising that since the migration to National Telecom Policy 1999 (which allowed operators to switch from their bid-based licence fee to a revenue-